FREE FINANCING REPORT

Light Industrial & Warehouse Financing Report

Why This Sector Attracts Broad-Based Capital, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

Prepared by K2 Commercial Finance

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Why Sponsors Pursue Light Industrial & Warehouse Financing

Industrial and warehouse real estate has spent the past several years as one of commercial real estate's most resilient property types, and 2026 is shaping up as a return to discipline rather than a downturn. That combination — durable long-term demand drivers, a construction pipeline that has pulled back sharply, and a genuinely deep lending ecosystem — is exactly why light industrial and warehouse financing remains one of the more broadly financeable categories in commercial real estate.

- **New supply has collapsed to the lowest level in years.** 2025 deliveries totaled just 281 million square feet nationally, down 35% from 2024 and the lowest annual total since 2017, setting up a tighter supply/demand balance as absorption catches up.
- **Leasing demand is genuinely strengthening, not just stabilizing.** Full-year 2025 leasing reached 665 million square feet — the highest annual total since 2022 — with 43 leases exceeding 1 million square feet, a 30% increase over the prior year.
- **Vacancy is stabilizing near its peak.** National vacancy held at 7.1% for a second consecutive quarter in Q4 2025, with the smallest year-over-year increase since late 2022, and CoStar projects only a modest rise to roughly 7.8% by the end of 2026 before improving in 2027.
- **A deep, well-established lending ecosystem.** Bank and credit union portfolio loans, life company loans, CMBS, bridge and value-add debt funds, and SBA 504 programs for owner-users all actively compete for well-located industrial assets.
- **Rents keep climbing even as vacancy has drifted up.** National asking rents have grown 53% cumulatively over the past five years, with year-over-year growth still running at roughly 1.5%.

That said, lenders remain disciplined. Functional obsolescence, thin tenant credit, and secondary locations with limited industrial demand are scrutinized closely — well-located, functional buildings with creditworthy tenants continue to attract the broadest and most competitive capital.

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2026 Market Outlook for Light Industrial & Warehouse Financing

Industrial real estate enters 2026 in a genuine transition: after several years of record supply working through the system, new construction has pulled back sharply while leasing demand has continued to build. The following figures outline where the market stands:

- National industrial vacancy stabilized at 7.1% for the second consecutive quarter in Q4 2025 — a year-over-year increase of only 50 basis points, the smallest annual rise since late 2022 — while CoStar forecasts vacancy near 7.5% to start 2026, rising modestly to roughly 7.8% by year-end before improving into 2027.

  Source: Cushman & Wakefield, Industrial Market Report, January 2026; CoStar Group, February 2026

- Leasing demand is genuinely strengthening: full-year 2025 leasing totaled 665 million square feet, the highest annual total since 2022, including Q4 2025 leasing of 165.7 million square feet, up 11% year-over-year, and 43 leases exceeding 1 million square feet (a 30% increase from the prior year).

  Source: Cushman & Wakefield, January 2026

- Absorption is outpacing recent years: full-year 2025 net absorption reached 176.8 million square feet, a 16.3% increase over 2024, with large tenants (500,000+ square feet) absorbing more than 116 million square feet during the year.

  Source: Cushman & Wakefield, January 2026

- New supply has fallen to the lowest level since 2017: 2025 deliveries totaled just 281 million square feet, down 35% from 2024, with build-to-suit projects now representing roughly 40% of space currently under construction.

  Source: Cushman & Wakefield, January 2026

- Rent growth remains positive but below the pre-pandemic average: national asking rents average $10.18 per square foot, up 1.5% year-over-year (0.8% quarter-over-quarter), with CoStar forecasting 2026-2027 average annual rent growth near 2.2%, reaching roughly 2.8% by the end of 2027.

  Source: Cushman & Wakefield, January 2026; CoStar Group, February 2026

- Industrial financing remains among the more favored CRE sectors in the CMBS market, with a balance-weighted cap rate of 6.03% and a coupon rate of 6.33% — a modest negative leverage spread of roughly 30 basis points — while conventional bank and life company financing runs at up to 75% loan-to-value with DSCR requirements typically in the 1.25x to 1.35x range and current fixed rates spanning roughly 6.74% to 7.04% depending on term.

  Source: CRED iQ, June 2026; SelectCommercial, August 2026

Bottom line for 2026: This is a market working through a supply hangover with genuinely improving fundamentals underneath it. Construction has pulled back to its lowest level in nearly a decade, leasing demand and absorption are both accelerating, and vacancy

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Critical Financing Metrics for Light Industrial & Warehouse Properties

Lenders in this space underwrite building functionality and income durability as closely as location. The following metrics most often determine whether a request moves forward:

1. **Clear Height and Loading Configuration**
   Ceiling clear height, number and type of loading doors (dock-high versus grade-level), and truck court depth. Modern bulk distribution demand generally favors 32-foot-plus clear heights, while functionally obsolete older buildings face tighter scrutiny.

2. **Location Relative to Transportation Infrastructure**
   Proximity to highways, ports, rail, and population centers. Last-mile and infill locations near dense population centers typically command the strongest rent growth and lender interest.

3. **Tenant Credit and Lease Term**
   The credit quality of major tenants and remaining lease term, particularly for single-tenant assets where cash flow depends heavily on one credit.

4. **Occupancy and Leasing Trend**
   Current occupancy and trailing leasing activity relative to the submarket. Property-level trend relative to the national benchmark matters more than the headline number.
   ~7.1%–7.5% national vacancy

5. **Rent Growth and Mark-to-Market Potential**
   In-place rents versus current market rents, particularly relevant given strong cumulative rent growth nationally. ~53% 5-yr cumulative rent growth

6. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service. 1.25x–1.35x typical minimum

7. **Loan-to-Value**
   Conventional bank and life company industrial loans typically run more conservatively than during the peak growth years of the sector. up to 75% LTV conventional; up to 90% SBA

These metrics form the practical filter that separates light industrial and warehouse financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Current rent roll with lease terms, tenant names, and square footage is organized
- [ ] Trailing 12-month operating statements are current
- [ ] Property details (clear height, loading doors, power, column spacing, site access) are documented
- [ ] Tenant credit information for major occupants is prepared
- [ ] Market and comparable lease data are gathered
- [ ] Environmental reports (Phase I standard) are complete
- [ ] Existing debt schedule, entity documents, and organizational structure are ready
- [ ] Borrower/sponsor experience and financial information are current

Common Reasons Light Industrial & Warehouse Financing Requests Underperform or Get Declined

- Missing or incomplete rent rolls
- Incomplete or inconsistent operating history
- Functional obsolescence (inadequate clear height, loading, or power) not clearly addressed
- Weak tenant credit or excessive single-tenant concentration without adequate lease term
- Submitting to lenders unfamiliar with industrial underwriting or the specific submarket

Final Perspective

Light industrial and warehouse financing in 2026 sits inside a genuinely improving fundamental picture — new supply has fallen to its lowest level in nearly a decade while leasing demand and absorption both accelerated through 2025. But the market is still working through the vacancy built up during the record construction years, and lenders remain disciplined about building functionality, tenant credit, and location.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Missing rent rolls, unaddressed functional obsolescence, and mismatched lenders are among the most common reasons otherwise solid industrial and warehouse financing requests lose time, money, and momentum.

YOUR NEXT STEP

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